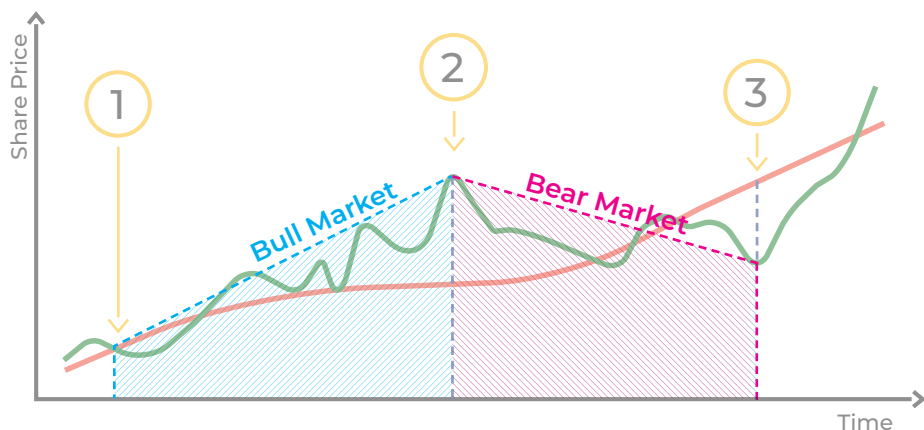


Bull Market v/s Bear Market



Bull Market

Bull market is the phase where the market participants are optimistic and have ample cash. As a result, positive sentiments exist and stock prices tend to go up.

This we can see in part from 1 - 2.

v/s

Bear Market

Bear market is the phase where market participants are not too optimistic and cash crunched too. This leads to negative sentiment value as seen from point 2 - 3.

Learnings

We generally try and buy stocks when they are undervalued. However, its not always possible to wait for Bear market, we should avoid very rich valuations of peak Bull markets.

“When others are apprehensive and hesitant due to the bearish market, instead of being afraid we must carefully invest in stocks. When others are greedy we must be concerned and fearful.”

- Warren Buffet